

Multiple Choice (10 marks)

1. Where the price is set low relative to the competition to gain market share, this strategy is known as:
 - (a) Captive product pricing.
 - (b) High-low pricing.
 - (c) Price skimming.
 - (d) Value added pricing.
 - (e) Penetration pricing.
2. Compare the costs of a 5,000 20-year limited payment policy if each were to be purchased at age 45.
 - (a) \$182.45
 - (b) \$125.75
 - (c) \$233.35
 - (d) \$300.20
 - (e) \$160.65
3. How much interest will Jerry pay on his loan of \$400 for 60 days at 6% per year?
 - (a) \$2.00
 - (b) \$9.00
 - (c) \$4.00
 - (d) \$1.50
 - (e) \$10.00
4. How many days would be included in a loan from September 2 until December 3?
 - (a) 94 days
 - (b) 96 days
 - (c) 95 days
 - (d) 88 days
 - (e) 87 days
5. A stereo system sells for 200. The cost to the store is 120. Find the dollar markup.
 - (a) \$80.00

- (b) \$180.00
- (c) \$110.00
- (d) \$240.00
- (e) \$75.00

True / False (10 marks)

Answer True or False

6. True or False: The effective yield of a 6.5% bond purchased at a premium is accurately calculated to be 7.4%.
7. True or False: Face validity refers to the extent to which a test appears to measure what it is intended to measure based on subjective judgment.
8. True or False: Harry's commission on 2,100 in sales at a rate of 4%
8. True or False: The present value of a cash flow of 100 to be received in 5 years at a discount rate of 5%
8. True or False: George will pay 12 in interest on a 6-month loan of 300 at an 8% annual interest rate.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of work specialization in business administration, analyzing its significance in preventing individual overload and enhancing overall productivity within teams.
12. Discuss the implications of discount loans by calculating the actual amount Mr. Stone receives from a \$4,000 loan at 6 percent for ninety days, and analyze the financial impact on his purchase decision.

End of Paper